1-4 Opportunity & Impact

Define the opportunity and impact of solving this problem. Answer 'why this problem is worth solving'.

Defining the Opportunity & Impact

Why This Problem Is Worth Solving?

TLDR. Solving this problem is worth it because it not only directly addresses our users' pain points but also strengthens our competitive position, drives customer satisfaction, and fuels sustainable business growth.

1. **Enhanced User Experience and Adoption:**
   A solution that provides out-of-the-box capabilities for new inventory-focused customers, while deeply addressing the pain points of existing users, results in a more intuitive and satisfying experience. This improved experience can drive higher adoption rates in the short and long term.

> To put it in perspective:
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> 2024 adoption rates indicate room for improvement:
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> - Average # of accounts using core inventory transaction functionality daily in 2024: 537.2 (11%)
> - Average # of accounts using item app functionality daily in 2024: 65.63 (1.3%)

2. **Increased Revenue and Retention:**
   By delivering a robust, real-time inventory solution, we directly address core user frustrations —reducing churn, fostering long-term loyalty, and attracting new customers. This enhanced functionality retains our most valuable verticals, who drive a significant portion of our transactions and ultimately boost revenue.

> To put it in perspective:
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> In 2024, we recorded 1,474 account cancellations with specified reasons. Within these, our key verticals of core inventory functionality experienced the following churn:
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> - MWD: 199 (13.5%) cancellations
> - Field Services: 81 (5.5%) cancellations
> - Retail: 70 (4.75%) cancellations

- Construction: 175 (11.9%) cancellations

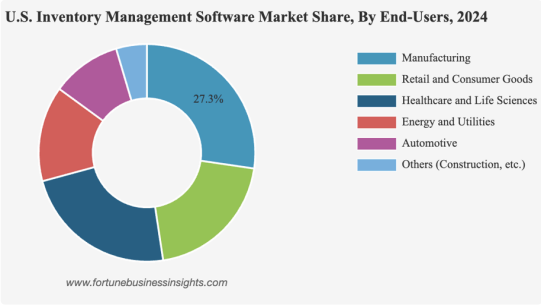
With an average lifetime value (LTV) lost of $2,390.54 per cancelled account, even a modest reduction in churn translates into significant revenue protection. For example, a 50% reduction in churn within the MWD vertical alone would preserve roughly 100 accounts, equating to about $238,000 in LTV retained.

3. **Alignment with Our Ideal Customer Profile (ICP):**
   Addressing this problem directly aligns with our target ICP. MWD are high-value players in inventory management and not only drive a significant portion of transactions but also demand the robust, integrated features that we aim to deliver, ensuring long-term strategic growth.

To put it in perspective:

Method currently serves 850 accounts in the MWD vertical. This accounts for approximately 3.4% (850/25000) of the entire North American market. Additionally:

- The U.S. manufacturing sector generates roughly $2.3 trillion in economic output
- North America's warehouse market alone generated an estimated $335 billion in revenue in 2024
- North America's warehouse & distribution market could approach $9.5 trillion by 2032



Manufacturing dominates the market in 2024

Together, these sectors support inventory management processes that handle transactions worth several trillion dollars annually, and create substantial demand for integrated, advanced inventory solutions that enhance efficiency, reduce costs, and enable real-time decision making.

4. **Competitive Advantage:**
   Solving this problem positions Method CRM to meet and exceed competitor offerings, ensuring that we not only keep pace with but surpass industry standards.

To put it in perspective:

The global inventory management software market is projected to grow at a 9.6% CAGR from 2025 to 2032 (USD 4.79 Billion), addressing these challenges now will place us at the forefront of a rapidly expanding market, making our solution increasingly valuable as customers shift towards more advanced, integrated systems.